

**Before the
FEDERAL MARITIME COMMISSION**

Docket No. 24-07

Impact Products, LLC *et al.*, Complainants v. CMA CGM S.A., Respondent

**COMPLAINANTS' RESPONSE IN OPPOSITION TO
RESPONDENT'S MOTION TO DISMISS**

Complainants Impact Products, LLC (“Impact Products”) and Safety Zone, LLC (“Safety Zone,” collectively the “Complainants”), by their counsel, and pursuant to 46 CFR §§ 502.69 and 502.70, hereby file their response in opposition to CMA CGM S.A.’s (“CMA” or “Respondent”) motion to dismiss (the “Motion” or “Mot.”), and in support thereof, state as follows:

INTRODUCTION

CMA’s main argument misses the mark. Complainants were not assigned Laufer’s rights under the relevant service contracts, but were assigned the rights to bring causes of action against CMA. That is a crucial distinction missing from CMA’s Motion. Further, CMA filed its Motion one week before Complainants’ opening brief was due. Yet, between July and early August 2024, CMA’s counsel requested to collaborate with Complainants’ counsel to advance discovery, including filing (1) a motion for confidential treatment to produce all responsive documents requested by Complainants, and (2) a joint motion to extend discovery in order for CMA to identify corporate representatives for their depositions and for the parties to serve their expert reports. Notably, CMA’s counsel proposed only extending the discovery deadlines—not the briefing schedule—and indicated that depositions would be completed by August 30, 2024, giving both parties enough time to prepare to draft their briefs. The Presiding Officer granted the joint motion to extend discovery on August 5, 2024 (the “Revised Scheduling Order”). Since then, CMA went

radio silent and failed to comply with the Revised Scheduling Order, even after multiple requests by Complainants to CMA to cure its production deficiencies and to identify a corporate representative for their depositions. In reality, CMA never intended to comply with the Revised Scheduling Order. It only agreed to extend the discovery deadlines until the week before the Complainants' opening brief was due, in order to allow it enough time to prepare and file this Motion, leaving Complainants with an incomplete record for their opening brief. For this reason alone, CMA's Motion should be denied¹.

As to the merits of the Motion, Complainants were directly harmed by CMA actions in charging Complainants demurrage, detention, and other related charges (the "Charges"). As a result, CMA's Motion should be denied. The test is not whether Complainants will ultimately prevail on their reparations claims, but whether they have properly pled a cause of action. Complainants are the party responsible for the Charges and should be able to bring their claims here. To the extent that this Tribunal determines that Complainants currently lack standing, Complainants have obtained an assignment from NVOCC Laufer Group International ("Laufer") to bring the claims here (the "Assignment of Claims").

Further, Complainants are not barred from becoming direct purchasers by way of assignment. CMA fails to cite to a single provision in its service agreements with Laufer that gave Laufer the right to seek repayment from CMA for the demurrage, detention, per diem, and yard storage charges referenced in the Complaint. Thus, the anti-assignment provision CMA cites cannot encompass the right to seek repayment for demurrage, detention, per diem, and yard storage charges because the provisions in the service agreements between CMA and Laufer do not give

¹ On September 9, 2024, CMA filed a supplemental motion to dismiss the Complaint, raising new arguments not previously addressed in its original motion. Complainants will file their response to CMA's supplemental motion to dismiss within the required timeframe allowed by 46 CFR §§ 502.69 and 502.70.

Laufer such a right. There is a difference in the law between assigning rights under the agreement (which Laufer did not do) with rights to bring a cause of action.

BACKGROUND

On February 14, 2024, Complainants filed a verified complaint against CMA alleging violations of 46 U.S.C. §§ 41102(c), 41104(a)(10) and seeking reparations pursuant to 46 U.S.C. § 41305. (Compl., ¶¶ 3, 28, 49.) In the verified Complaint (the “Complaint” or “Compl.”), Complainants allege that CMA violated the Shipping Act by assessing demurrage, detention, per diem, and yard storage charges to Complainants for periods of time when Complainants ability to pick up the containers at the port, or return empty containers promptly, was significantly constrained due to circumstances outside of the control of Complainants. (Compl., ¶ 3.) The Complaint also alleges that Complainants paid for the Charges. (*Id.* ¶ 20.) The Charges were first issued by CMA to Laufer, who is a non-vessel operating common carrier (NVOCC)² that Complainants used to assist in retrieving the relevant containers. (*Id.* ¶ 13.) Laufer, in turn, passed on the Charges to Complainants. (*Id.*) Ultimately, Complainants were the parties responsible for paying the Charges and paid them in full with no mark ups.

On August 28, 2024, one week before Complainants’ opening brief was due, CMA filed the instant Motion, claiming that under the direct purchaser rule, Complainants lack standing³ to bring a reparations claims because they did not directly pay for any of the disputed Charges. (Mot., pp. 6-7.) In the Motion, CMA also claims that the services agreements it entered into with Laufer between 2021-2022 preclude Laufer from assigning to Complainants the right to seek repayment

² CMA contends that Laufer is a NVOCC, not a freight forwarder. (Mot., p. 3.) Complainants agree with the characterization of Laufer as a NVOCC in the instant case.

³ Although CMA’s “direct purchaser” arguments are couched in terms of “standing,” the Commission has found that the “direct purchaser rule” is related to antitrust standing, not constitutional or Article III standing (the lack of which is challenged under Fed. R. Civ. P. 12(b)(1)). *In Re: Vehicle Carrier Services*, 2019 WL 5558120 at *4, n.7.

for the Charges referenced in the Complaint. (Mot., pp. 8-10.) As a last resort, CMA claims that the Assignment of Claims, which assigned all of Laufer's rights to Complainants with respect to the allegations in the Complaint, is deficient. (Mot., p. 11-12.)

LEGAL STANDARD

Because this matter is before the Commission on a motion to dismiss, the Commission reviews it under the standards of Federal Rule of Civil Procedure 12. *In Re: Vehicle Carrier Services*, 2019 WL 5558120, at *4, 1 FMC 2d 440 (FMC Oct. 21, 2019). The Commission's Rules of Practice and Procedure do not provide for motions to dismiss, so the Commission exercises its gap-filling authority under 46 C.F.R. § 502.12 and applies Federal Rule of Civil Procedure 12(b) and the federal caselaw interpreting it. *Id.*; see *Cornell v. Princess Cruise Lines, Ltd.*, 33 S.R.R. 614, 620, 2014 WL 5316340, *6 (FMC Aug. 28, 2014). The appropriate standard in analyzing the applicability of the 'direct purchaser rule' is that of Rule 12(b)(6). See *In Re: Vehicle Carrier Services*, 2019 WL 5558120 at *4.

To survive motions to dismiss for failure to state a claim under Rule 12(b)(6), a complaint must contain sufficient factual matter, accepted as true, to "state a claim to relief that is plausible on its face." *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544, 570 (2007). A claim "has facial plausibility when the plaintiff pleads factual content that allows the court to draw the reasonable inference that the defendant is liable for the misconduct alleged." *Ashcroft v. Iqbal*, 556 U.S. 662, 663 (2009). The complaint should be sufficient to "give the defendant fair notice of what the . . . claim is and the grounds upon which it rests." *Bell Atlantic*, 550 U.S. at 555 (quoting *Conley v. Gibson*, 355 U.S. 41, 47 (1957)); see also 5 Charles Alan Wright & Arthur R. Miller, Federal Practice & Procedure Civ. §1215 (3d ed. 2010) (The test of a complaint's sufficiency simply is

whether the document's allegations are detailed and informative enough to enable the defendant to respond.)

In resolving a Rule 12(b)(6) motion to dismiss, the Commission must draw all reasonable inferences from the allegations in the complainant's favor and accept as true all factual allegations in the Complaint. *In Re: Vehicle Carrier Services*, 2019 WL 5558120 at *4. The focus at this stage is not with whether a complainant can prevail on its claim, but whether it has adequately pled the claim. *In Re: Vehicle Carrier Services*, 2018 WL 2214682, at *9, 1 F.M.C.2d 45, 53 (ALJ May 7, 2018). Additionally, a motion to dismiss is improper in situations like here where an answer has already been filed. *Radcliffe v. Securian Financial Grp., Inc.*, 906 F. Supp. 2d 874, 883 (D. Minn. 2012).

ARGUMENT

Complainants have adequately asserted that they are the direct purchasers under the direct purchaser rule, as they alleged that they paid CMA for the disputed Charges. (See Compl. ¶¶ 12-13, 20.) The focus at this stage of the proceedings should not be on whether Complainants can prevail on their reparations claims, but rather whether they adequately pled their reparations claims, which they have. In the alternative, Complainants have validly succeeded to the reparations claims by assignment from Laufer.

I. Complainants are the direct purchasers of the Charges.

Under the direct purchaser rule, parties suing for alleged overcharges can only recover reparations if they actually paid the carrier, received an assignment from the direct purchaser or are an agent of the direct purchaser. See *In Re: Vehicle Carrier Services*, 2019 WL 5558120 at *5; *S.A. Chiarella v. Pacon Express Inc.*, 2001 WL 1085424, at *4, 29 S.R.R. 335, 337 (FMC Aug. 15, 2001). This century-old principle limits recovery of reparations for violations of the Shipping

Act to parties who suffer actual injury. See *In Re: Vehicle Carrier Services*, 2018 WL 2214682 at *26. The rule is consistent with the direct purchaser rule the Supreme Court developed in the antitrust context in *Illinois Brick v. Illinois*, 431 U.S. 720, 726 (1977). *In Re: Vehicle Carrier Services*, 2019 WL 5558120 at *13.

CMA contends that the direct purchaser rule precludes Complainants from bringing a reparations claims against CMA because Complainants did not directly pay for the disputed Charges. (Mot., p. 5–8.) In doing so, CMA cites to numerous administrative decisions and caselaw as support, including *In Re: Vehicle Carrier Services*, 2019 WL 5558120 *1 and *Illinois Brick*, 431 U.S. at 720. (Mot., pp. 2–5.) But CMA fails to provide the context of those decisions.

The direct purchaser rule typically applies to cases where a complainant, representing multiple customers or consumers, lacks a direct enough connection to the respondent within the chain of distribution to be considered a direct purchaser. See *Illinois Brick*, 431 U.S. at 726–37; *In Re: Vehicle Carrier Services*, 2019 WL 5558120, at *1. The Commission and the Supreme Court have pointed to three potential repercussions of allowing such parties to sue: (1) the risk of duplicative recovery (by both direct and indirect purchasers); (2) the evidentiary complexities and uncertainties regarding pass-through charges; and (3) the need for effective enforcement of federal maritime law by concentrating the full recovery in those with the closest relationship with the wrongdoers. See *Illinois Brick*, at 733–34; *In Re: Vehicle Carrier Services*, 2019 WL 5558120 at *13.

For example, in *Illinois Brick*, the State of Illinois, representing a number of customers, filed an antitrust suit against a defendant brick manufacturer/distributor for allegedly engaging in illegal price-fixing. *Illinois Brick*, 431 U.S. at 727, 735. The State of Illinois, however, was neither the first nor the second purchaser of the bricks sold by the defendant. *Id.* at 726. Rather, the bricks

were first purchased by masonry contractors, who used them to build masonry structures. *Id.* Those structures were then incorporated into entire buildings by general contractors, and ultimately sold to customers like the State of Illinois. *Id.* In holding that the State of Illinois was an indirect purchaser, the Court explained that the rule is necessary to avoid the complex task of accurately apportioning damages among various parties along the distribution chain. *Id.* at 730-37.

In *In Re: Vehicle Carrier Services*, the complainants, a group of consumers and vehicle dealers (group A) and a group of shippers and ocean transportation intermediaries (group B), brought class actions against the respondents, providers of vehicle carrier services. *In Re: Vehicle Carrier Services*, 2019 WL 5558120, at *1. The complainants alleged that the respondents engaged in a conspiracy to fix-rates and manipulate market share for transporting vehicles aboard vessels. *Id.* Particularly, Group A alleged that they paid the inflated rates indirectly, as they were passed along to them in the cost of buying or leasing a vehicle. *See id.* The Commission found that group A were indirect purchasers with no standing to seek reparations because they were too far removed from the chain of distribution to be considered direct purchasers. *See id.* at **7, 13–14. The Commission explained that there was a risk of duplicative recovery if the Commission ruled that the shippers, ocean transportation intermediaries, automobile dealers, vehicle purchasers, and lessees can all sue the respondents for reparations. *Id.* at **13–14. Moreover, the Commission found that determining reparations could easily involve complicated calculations that would be labor-intensive and a costly process for the parties and the Commission. *Id.* Lastly, the Commission emphasized the potential evidentiary complexities inherent in examining thousands of transactional documents and dates to understand what amount or percentage of the overcharge was passed along to each group of complainants in the distribution chain. *Id.*

Similarly, in *Guam v. Pacific Far East Line, Inc.*, the complainant tried “to sue for reparation on behalf of others.” *Guam v. Pacific Far East Line, Inc.*, 7 S.R.R. 167, 168 (ALJ 1966). That attempt was rejected because the Commission lacked statutory authority to hear such a claim. *Id.* Twenty-three years later, in 1989, Guam again tried to sue on behalf of others as parens patriae. *Gov’t of Guam v. Sea-Land*, 25 S.R.R. 842 (ALJ 1990). It met the same fate: *Guam’s* claim was dismissed. The Administrative Law Judge stated the view succinctly: “Insofar as the Complaint seeks reparation to Guam for shipments made by other shippers, it is hereby dismissed.” *Id.* at 842.

The case illustrations above are distinguishable from the present case. Unlike *Illinois Brick* and *In Re: Vehicle Carrier Services*, Complainants are not representing multiple customers or consumers, nor are they too far removed from the chain of distribution to be considered a direct purchaser. The Complaint is between Complainants and CMA—there are no other parties involved. (See generally Compl.) Further, Complainants sufficiently allege that they paid CMA for the disputed Charges. (*Id.* ¶¶ 12-13, 20.) Laufer invoiced Complainants the disputed Charges with no mark ups, and Complainants were the parties responsible for paying those Charges. (See *id.*) See also *Mediterranean Shipping Company – Investigation for Compliance with §§ 41103(a) and 41102 of Demurrage or Detention Charges Under the Charge Complaint Procedures of 46 U.S.C. § 41310*, Docket No. CC-001, Doc. 21 at p. 3 (FMC Sept. 29, 2023) (finding that the shipper had standing to bring claim when charges were assessed by carrier and rejecting the respondent’s direct purchaser rule argument that the NVOCC was the only proper party to bring the claim). This is unlike *Illinois Brick* or *In Re: Vehicle Carrier Services* where payment for the services/products had passed through various parties before getting to the complainants. See *In Re: Carrier Services*, 2019 WL 5558120, at *1; *Illinois Brick*, 431 U.S. at 726.

Additionally, the three concerns noted in *Illinois Brick* and *In Re: Vehicle Carrier Services* are inapplicable here. First, there are no risks of duplicative recovery by direct and indirect purchases because Laufer has irrevocably assigned all of its rights, title, interest, claims, cause or cause of action of any kind whatsoever to Complainants arising from the Complaint, including the right to seek repayment for the Charges assessed by CMA to Complainants. See **Exhibit 8** attached to CMA’s Motion to Dismiss (Confidential Version). Further, the only parties actually injured are Complainants—the parties responsible for paying the Charges. (Compl. ¶¶ 3, 12-13, 18-25.) See *Intermodal Motor Carriers Conference, American Trucking Ass’n, Inc. v. Ocema*, Docket No. 20-14, Doc. 150 at p. 70 (FMC Feb. 23, 2024) (discussing that the party sustaining the harm is the injured party). Further, no evidentiary complexities exist because the records regarding the disputed Charges are minimal, and are under the possession of Complainants. There will also be no need for a complex analysis on what amount or percentage of the Charges was passed along to Complainants because Complainants paid for all of the Charges. Most importantly, the effective enforcement of maritime law will be accomplished because recovery will be provided to the party who was actually injured—Complainants.

The recent Final Rule for Demurrage and Detention Billing Requirements that became effective on May 28, 2024 provides further guidance that Complainants have standing to bring their claims here.⁴ The Final Rule cites *Landstar Exp. Am., Inc. v. Fed. Mar. Comm’n*, 569 F.3d 493, 495 (D.C. Cir. 2009) for the proposition that traditional rules of agency apply under the Shipping Act. According to the Restatement (Third) Of Agency § 1.01 (2006): “As defined by the common law, the concept of agency posits a consensual relationship in which one person, to one degree or another or respect or another, acts as a representative of or otherwise acts on behalf of

⁴ Complainants acknowledge that the Final Rule would not be applicable to the Charges assessed against Complainants. However, the Rule simply explains existing law and supports Complainants’ position here.

another person with power to affect the legal rights and duties of the other person. . . .” The principal has a right to control the actions of the agent, but “a principal's failure to exercise the right of control does not eliminate it.” Restatement (Third) Of Agency § 1.01 (2006). The Restatement also notes that an enforceable contract, written or oral, does not need to exist for there to be a principal-agent relationship. Restatement (Third) Of Agency § 1.01 (2006). NVOCCs simply pass through demurrage and detention charges billed to them on invoices generated by VOCCs. Final Rule, pg. 14361. By doing so, the NVOCC acts as an agent of the VOCC on the one hand, but also an agent of the shipper on the other hand when sending the pass-through charges to the NVOCC. Final Rule, pg. 14361. *See also A.P. Moller-Maersk A/S v. Ocean Express Miami*, 550 F. Supp. 2d 454, 466 (S.D.N.Y. 2008) (discussing that NVOCC acts as agent for both carrier and cargo owner/shipper).

Accordingly, the Presiding Officer should decline to grant the Motion and find that Complainants sufficiently allege that they are the direct purchasers at this stage of the proceedings.

II. In the alternative, Complainants have validly succeeded to the reparations claims by assignment from Laufer.

In the event the Presiding Officer determines that Complainants are not direct purchasers, Complainants are still entitled to bring their reparations claims because they have received a valid assignment of the claim from Laufer. *See Exhibit 8* attached to CMA’s Motion to Dismiss (Confidential Version).

Well-established maritime caselaw states that complainants can recover reparations only if they introduce evidence that they actually paid the carrier or received an assignment from someone who did. *In Re: Vehicle Carrier Services*, 2019 WL 5558120 at *6. The Commission has consistently interpreted § 41301(a) as requiring complainants to establish that they have “paid the freight or succeeded to the claim in a valid fashion such as by assignment,” consistent with the

direct purchaser rule. *In Re: Vehicle Carrier Services*, 2019 WL 5558120 at *6; *Cal. Cartage v. Pac. Mar. Ass'n*, 23 S.R.R. 420, 427 (FMC 1985); *Trane Co. v. South African Marine*, 19 F.M.C. 375, 378 n.9 (ALJ 1976); *Carton-Print v. Austasia Container Express*, 17 S.R.R. 571, 581 (ALJ 1977); *3M v. Hapag Lloyd*, 20 S.R.R. 1020, 1021 n.3 (FMC 1981).

As the presiding officer acknowledged in *In Re: Vehicle Carrier Services*, in a number of cases, the Commission has permitted complainants to obtain an assignment of the claim, even after the statute of limitations has run. 2018 WL 2214682 at *35–37; see *Rohm & Haas Co. v. Italian Line*, 21 S.R.R. 212, 215-216 (FMC 1981) (allowing a parent company to seek reparations, as long as it obtained an assignment from its foreign subsidiary); *Ocean Freight Consultants, Inc. v. The Bank Line Ltd.*, 9 F.M.C. 211, 212-213 (FMC 1966) (permitting a reparations claims by a company that “engaged in the business of auditing ocean freight charges,” whose services were performed on a percentage of collection basis, if it obtained an assignment of the claim).

For example, in *Adenariwo*, the Settlement Officer found the claim facially deficient because Mr. Adenariwo had not sufficiently demonstrated that the claim was assigned to him; however, she allowed him time to obtain the assignment. *Adenariwo v. BDP Int'l*, 2012 FMC Lexis 42 at *12-14 (SO 2012). In her subsequent decision on the merits, the Settlement Officer accepted the assignment that Mr. Adenariwo obtained and ordered damages. *Adenariwo v. BDP Int'l*, 33 S.R.R. 503, 511 (SO 2013).

Complainants have obtained an assignment of their reparations claims from Laufer, who invoiced Complainants the Charges it received from CMA with no mark ups, and which Complainants paid in full to CMA. (Compl., ¶¶ 13, 20); see **Exhibit 8** attached to CMA’s Motion to Dismiss (Confidential Version). Consequently, Complainants are still entitled to recovery because they will be able to present evidence demonstrating that that they received a valid

assignment of their reparations claims from Laufer. Accordingly, the Presiding Officer should deny CMA's Motion because even if the Presiding Officer does not find that Complainants are direct purchasers, they are still entitled to reparations because Laufer assigned the reparations claims to Complainants.

III. The Assignment of Claims is not defective.

CMA claims that Complainants' Assignment of Claims is defective because "(1) standing to sue for damages cannot be conveyed retroactively ... and (2) the language of their purported assignment does not actually assign rights arising out of the shipments at issue, but instead assigns rights arising out of administrative proceedings." (Mot., pp. 11-12.)

CMA's first argument fails to cite any FMC decision that supports its contention and even acknowledges that this Commission has held that injury is not required to sue under the Shipping Act. (Mot., p. 11.) Instead, CMA asks the Presiding Officer to ignore FMC precedent and instead follow the same rules as federal courts. *Id.* The Presiding Officer should not ignore well-established FMC precedent. Complainants' have cited numerous FMC decisions where the Commission has permitted complainants to obtain an assignment of the claim, even after the statute of limitations has run. *In Re: Vehicle Carrier Services*, 2018 WL 2214682 at *35-37; *see Rohm & Haas Co.*, 21 S.R.R. at 215-216 (FMC 1981) (allowing a parent company to seek reparations, as long as it obtained an assignment from its foreign subsidiary); *Ocean Freight Consultants, Inc.*, 9 F.M.C. at 212-213 (FMC 1966) (permitting a reparations claims by a company that "engaged in the business of auditing ocean freight charges," whose services were performed on a percentage of collection basis, if it obtained an assignment of the claim); *Adenariwo*, 33 S.R.R. at 511 (SO 2013) (allowing the complainant time to obtain an assignment after initially finding his claim deficient, and subsequently accepting the assignment provided by the complainant).

Most recently, in *Impact Products, LLC, et al. v. Lihua Logistics Company Limited, LLHP*, Docket No. 24-06, Docket Entry 15 (May 24, 2024), *Impact Products, LLC, et al. v. COSCO Shipping Lines Co., Ltd.*, Docket No. 24-09, Docket Entry 13 (May 24, 2024), and *Impact Products, LLC, et al. v. Orient Overseas Container Line Limited, et al.*, Docket No. 24-08, Docket Entry 14 (June 3, 2024), which include similar allegations as the allegations referenced in the Complaint, the presiding officers denied the respondents motions to dismiss because the Assignment of Claims cured the defect alleged by respondents in their motions to dismiss.

CMA's second argument blatantly ignores the clear language in the Assignment of Claims where Complainants state that "WHEREAS, as part of their Complaint against [CMA], [Complainants] allege that [CMA] violated the Shipping Act by assessing demurrage, detention, per diem, and other charges ... to [Complainants], and seek damages from [CMA] pursuant to 46 U.S.C. Section 41305..." (emphasis added). See **Exhibit 8**, p. 1, which is attached to CMA's Motion to Dismiss (Confidential Version). The Assignment of Claims further states that "[Laufer] hereby irrevocably sells, conveys, transfers and assigns to [Complainants], and [Complainants] hereby assume from [Laufer], any and all of [Laufer's] rights, title, interest, claims, cause or causes of action of any kind whatsoever which [Laufer] has, or may have, arising from the Administrative Proceedings." See *id.* Administrative Proceedings are defined to include the claims brought against CMA in the Complaint. See *id.* Similar language was found to be sufficient for a valid assignment of claims in *Adenariwo*, 33 S.R.R. at 511 (SO 2013); *Lihua Logistics Company Limited, LLHP*, Docket No. 24-06, Docket Entry 15 at pp. 1-2; *COSCO Shipping Lines Co., Ltd.*, Docket No. 24-09, Docket Entry 13 at pp. 1-2; *Orient Overseas Container Line Limited, et al.*, Docket No. 24-08, Docket Entry 14 at pp. 1-2.

Accordingly, in the event that the Presiding Officer finds that Complainants are not direct purchasers, the Presiding Officer should find that Complainants are still entitled to bring their reparations claims because they have received a valid assignment of the claim from Laufer.

IV. CMA’s anti-assignment provision is inapplicable to the Charges assessed by CMA against Complainants and Laufer.

CMA cites the anti-assignment provisions in the services agreements it entered into with Laufer between 2021-2022 and claims that because the provisions state that Laufer may not assign the service agreement, “including any or all its rights or liabilities hereunder ...,” the Assignment of Claims is unlawful. (emphasis added) (Mot., p. 8). Yet, CMA does not cite a single provision in its service agreements with Laufer, which purportedly gave Laufer the “right” to seek repayment from CMA for the Charges alleged in the Complaint. *See id.* at pp. 8-10. Instead, CMA attempts to distract the Presiding Officer from the fact that no such provisions exist.

While all the cases cited by CMA are factually distinguishable, each of those cases cut against CMA’s own argument. For example, in *Saint John Marine Co. v. U.S.*, the court applied the provisions in the agreement in dispute to determine whether the claims alleged in the complaint were rightfully assigned. 92 F.3d 39, 47-48 (2d Cir. 1996). Even the language from the cases CMA cites do not support its own argument. *See* Mot., pp. 9-10; *California Shipping Line Inc. v. Yangming Marine Transport Corp.*, 25 S.R.R. 1213 (FMC Oct. 19, 1990) (“[c]ontractual rights are generally assignable ... Consequently, rights under a service contract cannot be assigned unless the contract so expressly permits) (emphasis added). But here, Laufer did not assign rights under the service contract but assigned a cause of action against CMA.

Simply put, there is no language in the service agreements between CMA and Laufer that gave Laufer the right to seek repayment for the Charges alleged in the Complaint. *See* **Exhibit 1-6** attached to CMA’s Motion to Dismiss (Confidential Version). CMA adds non-existent language

into the service agreements it had with Laufer, stating that “any right to repayment from CMA necessarily arises under the contracts, as they were the basis for the charges in the first place, even if the vehicle for asserting that right is the Shipping Act.” (Mot., p. 9). Unsurprisingly, CMA fails to cite a single provision, which purported to give Laufer the right to seek repayment for the demurrage, detention, per diem and yard storage charges referenced in the Complaint. That is because such provisions do not exist.

Further, there is a clear distinction between an assignment of a contract right and an assignment of a cause of action. While an assignment of contract rights primarily involves the transfer of rights and obligations specified in the contract, an assignment of causes of action specifically involves the transfer of the right to pursue legal claims. See *Gottlieb v. Alphabet Inc.*, 2018 WL 2010976, at *4 (N.D. Cal. Apr. 30, 2018); *Creditors Adjustment Bureau, Inc. v. IBT Media Inc.*, 2019 WL 3082845, at *2 (N.D. Cal. July 15, 2019) (a contractual provision prohibiting the assignment of “rights” under the contract does not on its own prohibit the right to assign a claim for damages); *1901 Gateway Holdings, LLC v. CentiMark Corp.*, 2024 WL 665701, at *6 (N.D. Tex. Feb. 16, 2024). Here, the Assignment of Claims does not transfer any rights under the service agreements between Laufer and CMA. Rather, it transfers the causes of action that Laufer may pursue against CMA for the wrongful assessment of the Charges referenced in the Complaint. See **Exhibit 8**, pp. 1-2, which is attached to CMA’s Motion to Dismiss (Confidential Version).

CMA’s citation to *MSP Recovery Claims, Series LLC v. QBE Holdings, Inc.*, 965 F.3d 1210 (11th Cir. 2020) does not support its defense either. The case involved Article III standing, which is not applicable here. Moreover, the reason that the case was dismissed was because the plaintiff was not actually assigned any rights under the relevant agreement, it was assigned to third parties. *Id.* at 1220-21. Here, that is not the case.

Accordingly, the Presiding Officer should find that the anti-assignment provision is inapplicable to the Assignment of Claims because the service agreements between CMA and Laufer did not give Laufer the right to seek repayment for the Charges assessed by CMA as referenced in the Complaint, and because the Assignment of Claims did not assign any rights within the service contracts, but rather it assigned the causes of action that Laufer could pursue against CMA for the Charges referenced in the Complaint.

CONCLUSION

For the foregoing reasons, the Presiding Officer should decline to dismiss the Complaint and find that Complainants have sufficiently allege a claim for reparations at this stage in the proceedings.

Dated: September 12, 2024

Respectfully submitted,

CLARK HILL PLC

/s/ Timothy R. Herman

Timothy R. Herman
R. Kevin Williams
312.985.5950
therman@clarkhill.com
kwilliams@clarkhill.com
130 E. Randolph Street, Suite 3900
Chicago, IL 60601
Counsel for Complainant Impact Products,
LLC and Safety Zone, LLC

CERTIFICATE OF SERVICE

I certify that on September 12, 2024, a true and correct copy of the foregoing **Complainants' Response in Opposition to Respondent's Motion to Dismiss** was served by email on all counsel of record in accordance with 46 CFR Part 502.

Attorneys for Respondents:

B. Jason Barlow (VSB No. 80105)
C. Wiley Grandy (VSB No. 82154)
Chelsea C. Crews (La. Bar No. 38176) CMA CGM (America) LLC
1 CMA CGM Way
Norfolk, VA 23502
orf.jbarlow@cma-cgm.com
orf.wgrandy@cma-cgm.com
orf.ccrews@cma-cgm.com
Attorneys for Respondent CMA CGM S.A.

W. Ryan Snow, Esquire
K. Barrett Luxhoj, Esquire
Crenshaw, Ware & Martin, PLC
150 West Main Street, Suite 1923
Norfolk, Virginia 23510
wrsnow@cwm-law.com
kbluxhoj@cwm-law.com
Attorneys for Respondent CMA CGM S.A.

/s/ Timothy R. Herman
Timothy R. Herman
R. Kevin Williams
kwilliams@clarkhill.com
therman@clarkhill.com
Clark Hill PLC
130 E Randolph Street, Suite 3900
Chicago, IL 60601